Seven Stocks One Index: How MAG7 Concentration Shaped S&P 500 Returns and Risk, 2026 to 2026

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Executive Summary

There are now 7 companies that account for 37% of the S&P 500, up from 9% in January of 2015. This report will focus on measuring how that concentration has shaped the index's returns and risk from January of 2015 to October of 2026.

1. Concentration. The combined weight of the MAG7, which are, Apple, Microsoft, Nvidia, Alphabet, Meta and Tesla rose from 9% to 37% and peaked at 38% in November 2025. Nvidia alone accounts for 8% of the index.
2. Returns. A cap-weighted MAG7 basket grew 25.8% each year. The rest of the stocks in the index grew 8.5% per year. The entire index delivered 12.5% growth a year on a price basis.
3. Attribution. From 2023 to 2025 these 7 companies delivered around 61% of the S&P500's price return. In 2023 they contributed to 16.4 of the index's 24.2 percentage points.
4. Cap-weighted vs. Equal-weighted. SPY had a return of 360% including dividends. The equal-weighted RSP returned around 225%
5. Risk. In the weight that the MAG7 holds today, a 30% drop would cut the index about 11% with the other stocks remaining flat. In the sell-off of 2022 the MAG7 caused about 11 points of the index's 25% drawdown.

Introduction

The S&P500 has been treated as an intermediary for the US economy and as a diversified, low-cost investment. These claims rely on returns from the index being spread across a variety of countries. With the term "Magnificent Seven" rising in 2023 investors now question whether this index still remains that way.

This report will focus on 3 main questions:

How concentrated has the S&P500 become in the MAG7?

How much of the returns from the index have come from those 7 stocks?

What does the concentration mean for the risk an investor carries when investing in SPY?

This analysis will cover data from the 2nd of January of 2015 to the 13th of October of 2026. All calculations were made using public data and are reproducible from the code published alongside this report.

Body

Background and Previous Research

Bank of America strategist Michael Hartnett was the one who popularized the name “Magnificent Seven” in a May 2023 note to investors, borrowing the saying from the 1960 western film (Fortune, 2024). Concentration of these stocks is currently at or near a record in the S&P500, and research suggests this is a natural feature of equity markets combined with a source of risk

RBC Wealth management finds that the top 10 stocks made up about 19% in 1990 which stayed between 18-23% until 2015. In 2000, at the peak of the dot-com bubble they got as high as to reach 27% of SPY. In the end of 2025 these stocks made up a record of 40.7%, while being expected to earn around 32% of index profits (Frawley, RBC Wealth Management, 2026). Today’s concentration therefore almost doubles that of what the percentage was around 2015, although RBC regards that today’s leaders are more profitable than those of the 2000’s. Bassembinder (2018, Journal of Financial Economics) was able to study every common stock since 1926. He found that around 4% of stocks were accountable for all the net wealth the US market created above treasury bills, and that only just 90 companies created over half of it (W.P Carey News, 2018). Through this point of view, a market driven by a handful of companies is normal. What contradicts this today is how much of the index those winners already make up.

S&P Dow Jones Indices launched its S&P500 Equal Weight Index in 2003. This means it resets every stock to 0.2% each quarter, and through its back-tests and history to the 1970s it has beaten the cap-weighted index. S&P attributes more than half of that long-run advantage to the tilt towards smaller companies, with value and adversary rebalancing effects adding the rest (S&P Dow Jones Indices, 2026). Therefore, the period of 2015-2026 studied in this paper is an exception to that long-run pattern. Charles Schwab put the MAG7 at 34% of the S&P500 in August 2026, with a combined value of almost $24 trillion (Schwab, 2026). This report estimated 35.6% and 23.4 trillion for the same month. This small gap in weight is consistent with this report due to using full rather than float-adjusted market caps. S&S also reports that the cap-weighted lost against the equal-weighted index by around 7 points in 2022, showing the match od 6\.6-point gap between the RSP and the SPY found.

Data and Methodology

All data from this report is daily and runs from the 2nd of January 2015 to the 13th of October 2026.

Table representative of the data:

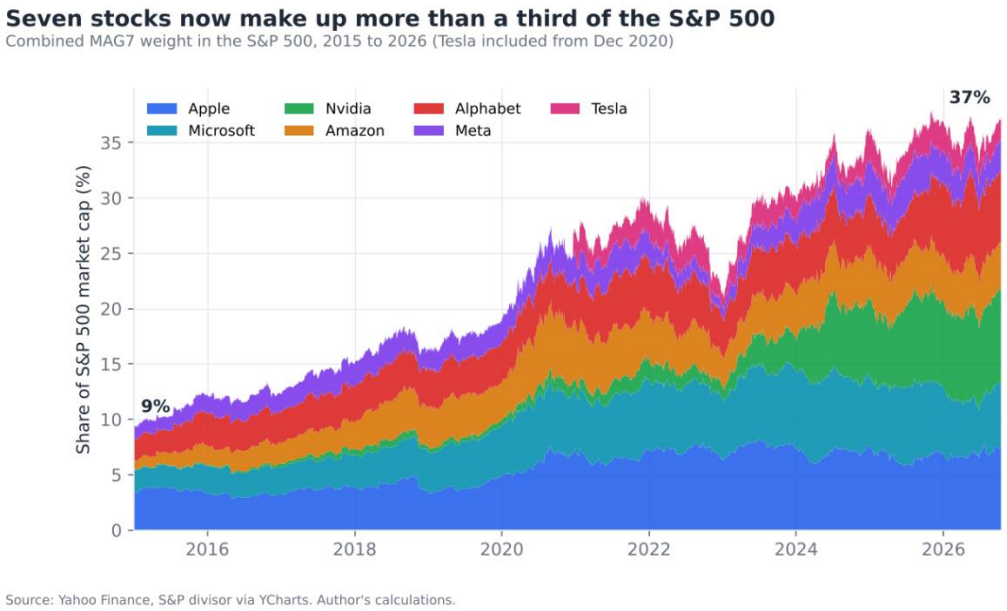
Data	Use
Daily closing prices for the MAG7,SPY,RSP and the S&P 500 index.	Returns and Market caps
Shares history for the seven stocks	Market caps
Stock split history	Putting the share counts on one basis
S&P500 divisor, quarter-end values	Total index market cap

The market cap for each stock is split-adjusted shares outstanding times the closing prices. Alphabet was counted once, by using its total share count and the Class A price, so its two share classes aren't counted doubled.

Total S&P 500 market cap can be measured by the index level multiplied by the S&P divisor. The divisors the number that the S&P uses to be able to turn total market cap into the index level, so reversing this gives us the market cap. Quarter-end values are interpolated linearly and held flat after December 2025. Each stock's index weight can be calculated by taking its market cap and dividing it by total index market cap. The annual contribution is the stock's weight at the start of the year multiplied by its return over the year. The total contribution of other stocks apart from the MAG7 is the index return minus the MAG7 contribution. Tesla joined the S&P 500 on the 21st of December of 2020 and has zero weight before that date. Before this the MAG7 would effectively be counted as 6 stocks.

Finding 1: the index and its heavy concentration

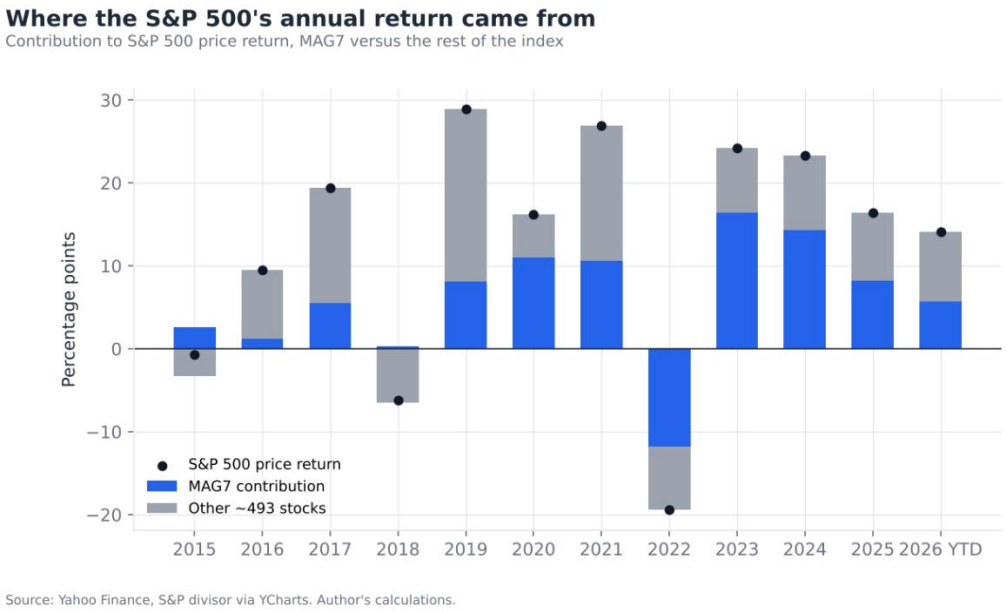
The MAG7 share of the S&P 500 basically quadrupled from the time's recorded in this report going from 9.4% to 37.3%.



This graph shows the representation of this growth, noting it was not steady. Weight had a slow climb to about 19% by early 2020, jumped during that year's and 2021's technology rally, then fell back to about 21% by the end of 2022. Once again, with the rise of AI the weight continued to increase. The mix inside the stocks group also changed, however during most of the period Apple and Microsoft dominated. Nvidia went from under 1% in 2015 to about 8.3& today, making it the largest stock of the index. RBC Wealth Management reports a similar figure of nearly 8% at the start of 2026.

Finding 2: a growing part of the index's return comes from 7 stocks

In the period of 2023 to 2025 the MAG7 delivered about 61% of the index's price return, while making up between 22% and 36% of the index.



Before 2020 the MAG7 was not as influential as the other stocks in the S&P 500. In 2019 the MAG7 contributed 8.1 of the index's 28.9 points. In 2023, after COVID, the MAG7 contributed 16.4 of 24.2 points and in 2024 14.3 of 23.3 points. In 2022, the MAG7 showed that it's weight works both ways, as the 7 stocks contributed 11.8 points off the index which was more than half of its 19.4% fall. However, in 2015 the index ended slightly bearish, and the MAG7 kept it from falling further. This pattern was weakened in 2025 and 2026 as the MAG7 and the other stocks contributed equal amounts in 2025, moreover the MAG7 had less of an impact than the rest of the stocks in 2026.

Finding 3: the MAG7 pulled away from the market

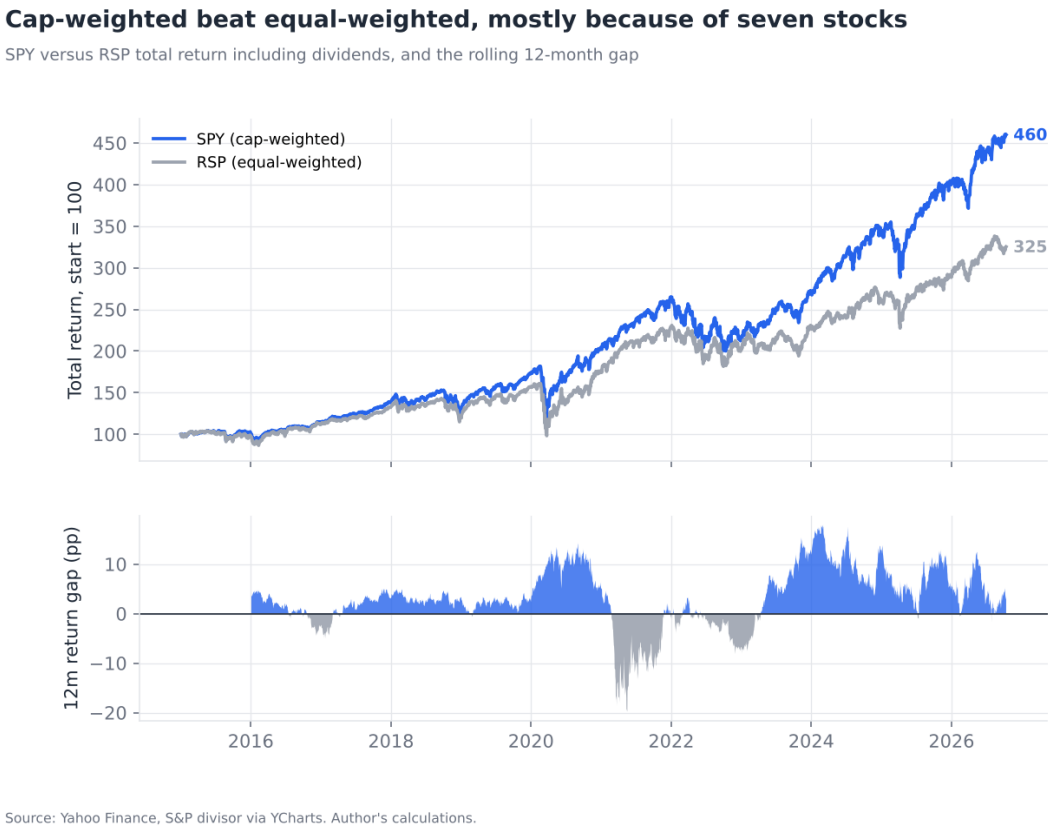
If you invested 100$ in a cap-weighted MAG7 basket in January 2015 grew to about 1,497$ by October 2026, which equals to a price return of 25.8% a year. The same dollar amount would've grown to about 261$ or a 8.5% a year.



Seen by the graph provided above, the gap was widened most after 2022. From the end of 2022 to October 2026 the basket of the MAG7 rose about 269%, comparatively the other stocks only rose 59% with the full index rising about 103%. The other stocks should not be disregarded though, an 8.5% annual price return, before dividends, is a solid result by historical standards. The index looks so appealing mainly due to the MAG7, however the overall performance should not only be regarded by those 7 stocks.

Finding 4: cap-weighted beat equal-weighting due to the MAG7

Over the period measured in the report, SPY returned about 360%, roughly 13.8% a year. The equal-weighted RSP returned about 225% which equals about 10.5% a year.

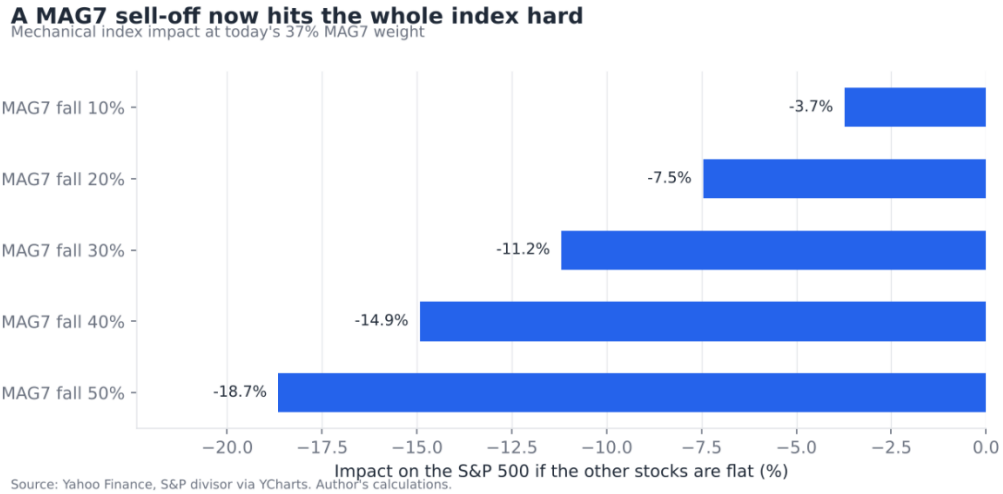


The SPY is made to hold each company in proportion to its market cap which the MAG7 make over a third of. RSP holds all the 500 companies at equal balances and rebalances them every quarter, meaning each MAG7 stock is only about 0.2% of the fund (S&P Dow Jones Indices, 2026). The gap between both of these measures would therefore be a direct measure of what concentration has been worth.

The panel shown on the lower part of the graph above shows that the gap between both index's is not constant. Equal weighting led in small parts of 2016, 2021 and 2022 which signifies that cheaper stocks overperformed. Cap-weighted led most of the way, with strong periods in 2020 and from 2023 onwards. Deciding whether to invest into one or the other would, in effect, be a bet towards the MAG7 versus the cheaper stocks in the index.

Finding 5: concentration is a growing concerning risk for index investors

In today's weighting of the S&P 500 which is 37%, a 30% fall in the MAG7 would cut the index by around 11% with all the other stocks staying flat.



The index impact equals the MAG7 weight multiplied by the size of the fall. This is a lower bound calculation as in a real sell-off the other stocks would rarely stay flat.

From the 3rd of January to the index's low in October of 2022 the S&P fell 25.4%. The Mag7 caused 10.7 points of that fall, from a starting weight of 29%. The same move today would be a lot worse with the current 37% weighting. The practical point of this finding is that an investor buying an S&P 500 fund for diversification now holds more than a third of their money in the MAG7, with most exposed to the same AI and technology spending cycle.

Limitations

S&P weights companies by shares available to the public. Founders of the MAG7 companies usually hold large stakes in the companies so the report probably will overstate the 7 stocks by one to two percentage points. Most data was collected through Yahoo Finance, in which share counts for Meta start in June 2022, so earlier values are held at that first figure. Share counts before October 2015 are backfilled in which Meta was about 2% of the index, so the effect on totals is small.

Additionally, quarter-end divisor values are interpolated, and is held flat after December 2025. In this report growth comparisons use price returns, which exclude dividends. However, the RSP and S&P comparison include dividends. In hindsight these "Magnificent 7" stocks were chosen

due to their exceptional performance in 2023. Measuring their performance all the way back to 2015 therefore flatters them. This can be categorized as survivorship bias, and the results describe what happened, not what will happen.

Conclusion

In conclusion, as has been proven throughout the report an investment in the S&P 500 is very different to what that same investment would have been in 2015. Nowadays, investors invest in an index where seven companies now drive more than a third of its value, and most of its returns.

For investors this has three main implications:

1. Diversification has been weakened. A cap-weighted index fund now carries a large, concentrated bet on a small group of mostly tech companies.
2. Past index returns now overstate the usual stock. The 12% annual price return of the index mainly came from the 26% of seven stocks and 8.5% for the other 493 stocks.
3. Equal-weighted funds such as RSP reduce concentration risk, but gave up about 135 percentage points of return over this period.

The top 10 stocks of the index now make up a larger share of the index that at the dot-com peak, when concentration went down sharply (RBC Wealth Management 2026). Unlike that era, today's leaders earn large profits, however RBC estimates they still earn a smaller share of index value. Whether this concentration continues depends on whether the MAG7 can keep their earnings growing in correlation to their valuations. That question would be outside the scope of this report and its data.

Further work with data in previous years could extend this analysis with float-adjusted weights. This past data could go into episodes in the economy such a the 2000 technology bubble, and earnings data to separate growth in profits from growth in valuations.

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